

The complaint

Mr and Mrs B complain about how Covea Insurance Plc dealt with and settled a claim they made under their household insurance policy following an escape of water.

What happened

Mr and Mrs B held a household insurance policy with Covea, which commenced on 23 October 2019. On 16 July 2020, they contacted Covea to report an escape of water in their kitchen. They said this had been recently discovered by a contractor who discovered wet timbers while a new washing machine was being fitted. The contractor told Mr and Mrs B this could indicate there was an escape of water under the floor.

Mr and Mrs B instructed a plumber to attend their home who stopped the leak but recommended that they arrange a further investigation. So, on 10 August 2020, Mr and Mrs B asked a local builder to assess their kitchen to clarify what had been causing the escape of water. They informed Mr and Mrs B that the damage was extensive and estimated that it would cost £3860 to put right.

Mr and Mrs B provided Covea with their builder's estimate together with photographs and a cause of damage report from the builder. As the costs exceeded £1000, Covea informed Mr and Mrs B they'd need to provide a second estimate.

Mr and Mrs B couldn't obtain another estimate for the reinstatement works. So, Covea instructed a buildings inspector, which I'll refer to as "B", to undertake an inspection of the damage within their home.

B attended Mr and Mrs B's property on 12 August 2020 and informed them that they were declining their claim. Mr and Mrs B said B was rude and abrupt and spent less than five minutes in their home. Mr and Mrs B also stated they didn't receive any correspondence from Covea explaining why their claim had been repudiated until 8 September. In this correspondence Covea explained that it thought the damage was longstanding and, as such, pre-dated the inception of Mr and Mrs B's policy.

Mr and Mrs B thought the reason Covea had declined their claim was unfair. So, they complained to about how it had assessed and settled their claim. They said they'd reported the escape of water as soon as they became aware of it. And they refuted the suggestion that the damage was longstanding. They said they'd only bought their property in around 2014 and had obtained a survey prior to doing so, which hadn't indicated any damage to the floorboards or an escape of water within the property. They also added that they'd had a new kitchen professionally installed a few years ago and there was no escape of water evident at that time. But Covea didn't uphold Mr and Mrs B's complaint and told them they should approach their previous insurer to discuss the damage further.

Being dissatisfied with Covea's response to their complaint, Mr and Mrs B referred it to our service. Our investigator looked into what happened and, while they empathised with Mr and Mrs B, they also thought the damage was longstanding. They weren't persuaded it had occurred during the time Mr and Mrs B were insured with Covea. So, they didn't think it had

acted unfairly in declining Mr and Mrs B's claim. But they did think there had been avoidable delays in how Covea had progressed Mr and Mrs B's claim and they recommended it pay them £200 compensation for the distress and inconvenience this would have caused. But Mr and Mrs B rejected our investigator's assessment of their complaint and asked for it to be assessed by an ombudsman.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Our service is impartial, we don't take either side's instructions on how we investigate a complaint, and we don't regulate or punish businesses. I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. Where the information I've got is incomplete, unclear or contradictory, as some of it is here, I must base my decision on the balance of probabilities.

I can see Mr and Mrs B have gone to some trouble to provide our service with some very detailed submissions. I want to assure them that I've read everything they've sent us. I hope they'll understand if I don't address every comment they've made in this decision. I intend to concentrate on what I consider is key to the complaint.

I'd like to say at the outset that I'm sorry to hear about what happened to Mr and Mrs B. I realise this has had a big impact on them. And I can appreciate how distressing it must have been for Covea to decline to settle their claim. I've carefully considered what happened and whether Covea made an error it needs to put right.

There's no dispute that water damage occurred to Mr and Mrs B's property and that their kitchen incurred substantial damage as a result of an escape of water. However, there's a dispute between Mr and Mrs B, Covea and its appointed agents about the correct outcome of this claim.

Damage from an escape of water is covered by Mr and Mrs B's policy, but the crux of this complaint is whether they ought to have noticed the damage to their property before they reported it to Covea. In addition, because Mr and Mrs B's policy with Covea commenced on 23 October 2019, the damage in question would have to have occurred after that date.

I've carefully considered the evidence from Mr and Mrs B, Covea and B. I can see that Mr and Mrs B have questioned the independence of B. But our service thinks it's right for an insurer to instruct a buildings inspector with expertise to inspect a customer's property to assist it in determining the cause of damage. Here Covea appointed B to do that and I can't fairly find it acted unfairly in doing so.

Mr and Mrs B also said B spent five minutes in their home before declining their claim. But B's report is detailed and thorough. It spans 28 pages and includes numerous photographs showing the condition of the Mr and Mrs B's kitchen. The photographs are time stamped and indicate that B was at Mr and Mrs B's home for longer than they've suggested.

The available evidence demonstrates that the escape of water happened as a result of a perished copper pipe. I'm satisfied this caused a slow constant leak, rather than a sudden loss of a large volume of water.

I've seen photographs of Mr and Mrs B's kitchen, which indicate that the water damage is extensive and widespread. The floorboards and joists are severely rotten. There is compelling evidence of this in B's report. I can also see that Mr and Mrs B's builder advised

Covea that the rotten floorboards were *“breaking with their hand”*. They thought the pipe had been leaking for some time.

I think it's unlikely that this damage has only happened since October 2019. It's more likely that the damage has been ongoing for several years. And I haven't seen any evidence that persuades me that the damage occurred after Mr and Mrs B inceptioned their policy with Covea.

In the overall circumstances, I think Covea has shown our service reliable evidence to demonstrate that the escape of water has been present for some time. And I'm satisfied it acted reasonably in concluding that the damage Mr and Mrs B reported occurred prior to the inception of their policy.

The terms of their policy state that any loss or damage caused gradually, by wear and tear or poor maintenance is excluded. Their policy also excludes loss or damage caused by wet or dry rot.

Where an insurer seeks to repudiate a claim on the basis that the damage has been caused gradually, our approach would be to determine whether a policyholder ought reasonably to have been aware of the damage occurring.

Mr and Mrs B say they only became aware of the escape of water in around July 2020 when they were having a new appliance installed. They told our service they had a new kitchen installed by a professional builder *“a few years ago”* and appear to think this means it's unlikely water was leaking at this point. But there's no evidence showing that the floorboards were taken up as part of the refurbishment process. So, it's possible the water could have been leaking from underneath the floorboards at the point Mr and Mrs B's new kitchen was fitted.

The damaged floorboards will have, largely, been concealed by kitchen units. This could make it difficult to see any damage to the flooring underneath. But the evidence I've seen satisfies me that the damaged and weakened flooring was causing the kitchen unit and worktop to drop. This presented a significant opportunity for Mr and Mrs B to have concerns about the condition of their flooring, which might require investigative action. And I think they ought reasonably to have been aware of the damage occurring earlier.

In the overall circumstances of this complaint, I don't think Covea has acted unfairly in relaying on an exclusion clause to decline Mr and Mrs B's claim. I therefore won't be directing it to settle their claim. However, I do think Mr and Mrs B experienced shortfalls in the service they received from Covea. I'll set out, below, how I think these shortfalls should be resolved.

Putting things right

I appreciate this has been a stressful situation for Mr and Mrs B. I can imagine that they thought at the start the claim was all going to be sorted out with minimal fuss. But, as our investigator identified during their assessment of this complaint, there were some avoidable delays in how Covea progressed Mr and Mrs B's complaint. This led to their claim being repudiated around a month after it was reported to Covea. And I think our investigator was right to recommend that Covea pay compensation to recognise the distress and inconvenience this delay is bound to have caused.

I understand that both Mr and Mrs B suffer from health conditions, which exacerbated the distress and inconvenience they'd have ordinarily been caused as a result of what happened. They were unable to use their kitchen to cook meals. And they said they couldn't

use their kitchen sink for around three weeks, which meant that they had to wash dirty dishes and pots upstairs in their bathroom sink during that time. They also had to wash their dirty clothing at a relative's home – 15 miles away. This disruption and upheaval in Mr and Mrs B's life could have been minimised had there not been the avoidable delays they experienced.

Our investigator recommended £200 in compensation to recognise the trouble and upset Mr and Mrs B would have been caused as a result of what happened. Taking everything into account, I'm satisfied that £200 is a fair and reasonable amount to resolve this complaint. It's in line with awards made by our service in comparable circumstances and it's what I would have directed Covea to pay had no recommendation been made. I'm therefore going to require Covea to pay £200 compensation to Mr and Mrs B.

My final decision

My final decision is that I uphold this complaint in part. Covea Insurance Plc should pay Mr and Mrs B £200 compensation to resolve this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr B and Mrs B to accept or reject my decision before 29 June 2021.

Julie Robertson
Ombudsman